

Instead, let's tune out the noise and think about future returns as Graham might. The stock market's performance depends on three factors:

- real growth (the rise of companies' earnings and dividends)
- inflationary growth (the general rise of prices throughout the economy)
- speculative growth—or decline (any increase or decrease in the investing public's appetite for stocks)

In the long run, the yearly growth in corporate earnings per share has averaged 1.5% to 2% (not counting inflation).³ As of early 2003, inflation was running around 2.4% annually; the dividend yield on stocks was 1.9%. So,

$$\begin{array}{r} 1.5\% \text{ to } 2\% \\ + 2.4\% \\ + 1.9\% \\ \hline = 5.8\% \text{ to } 6.3\% \end{array}$$

In the long run, that means you can reasonably expect stocks to average roughly a 6% return (or 4% after inflation). If the investing public gets greedy again and sends stocks back into orbit, then that speculative fever will temporarily drive returns higher. If, instead, investors are full of fear, as they were in the 1930s and 1970s, the returns on stocks will go temporarily lower. (That's where we are in 2003.)

Robert Shiller, a finance professor at Yale University, says Graham inspired his valuation approach: Shiller compares the current price of the Standard & Poor's 500-stock index against average corporate profits over the past 10 years (after inflation). By scanning the historical record, Shiller has shown that when his ratio goes well above 20, the market usually delivers poor returns afterward; when it drops well below 10, stocks typically produce handsome gains down the road. In early 2003, by Shiller's math, stocks were priced at about 22.8 times the average inflation-adjusted earnings of the past decade—still in the danger zone, but way down from their demented level of 44.2 times earnings in December 1999.

How has the market done in the past when it was priced around today's levels? Figure 3-1 shows the previous periods when stocks were at similar highs, and how they fared over the 10-year stretches that followed: